

Detailed Reference

IND AS Summary Book

Every standard broken into overall considerations, structure & content, and disclosures — 36 Ind AS standards in one chart-style reference.

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Presentation of Financial Statements

The rulebook for what a complete set of financial statements must contain and how it must be structured.

OVERALL CONSIDERATIONS

Fair presentation

Faithful representation of transactions per the Framework's recognition criteria; compliance with all applicable Ind AS is presumed to achieve it. Departure is permitted only in extremely rare circumstances, with detailed disclosure.

Going concern

Prepared on a going concern basis unless management intends to liquidate, cease trading, or has no realistic alternative. Material uncertainties about going concern must be disclosed even if the basis is retained.

Accrual basis

All statements are prepared on the accrual basis except the cash flow statement, which is inherently a cash-basis statement by design.

Consistency

Presentation and classification of items is retained from one period to the next unless a change is justified by a new Ind AS, a significant change in operations, or a genuinely more appropriate presentation.

Materiality & aggregation

Each material class of similar items is presented separately; items of a dissimilar nature or function are presented separately unless immaterial. Immaterial items may be aggregated with similar items.

Offsetting

Assets/liabilities and income/expenses are not offset against each other unless a specific Ind AS requires or permits it — offsetting reduces the ability of users to understand transactions.

COMPLETE SET OF FINANCIAL STATEMENTS

- Balance sheet as at the end of the period
- Statement of profit and loss (including OCI) for the period
- Statement of changes in equity for the period
- Statement of cash flows for the period
- Notes, comprising significant accounting policies and other explanatory information
- Comparative information for the preceding period
- A third balance sheet when a retrospective restatement, reclassification, or policy change has a material effect on the opening balance sheet of the earliest comparative period

STRUCTURE & CONTENT

Balance sheet - Current/non-current split is the norm; a liquidity-based order is used only when it is more relevant and reliable - Current asset: expected to be realised, sold or consumed in the normal operating cycle, held primarily for trading, expected to be realised within 12 months, or is cash/cash equivalent unless restricted - Current liability: expected to be settled in the normal operating cycle, held primarily for trading, due within 12 months, or the entity has no unconditional right to defer settlement for at least 12 months - Minimum line items include PPE, investment property, intangible assets, financial assets, investments (equity method), biological assets, inventories, trade/other receivables, cash, provisions, financial liabilities, current/deferred tax, NCI, and issued capital & reserves	Statement of P&L - Two sections presented together: profit or loss, followed directly by other comprehensive income - Expenses classified either by nature (raw materials, employee costs, depreciation) or by function (cost of sales, distribution, admin) — an accounting policy choice, disclosed either way in the notes if function is chosen - OCI items are split between those that may subsequently be reclassified to profit or loss and those that will not - No items of income or expense may be presented as "extraordinary items" — this category does not exist under Ind AS	Statement of changes in equity - Total comprehensive income for the period, showing separately amounts attributable to owners of the parent and to non-controlling interests - For each component of equity, the effects of retrospective application or retrospective restatement recognised per Ind AS 8 - For each component of equity, a reconciliation between the carrying amount at the beginning and end of the period, separately disclosing each change - Amount of dividends recognised as distributions, and the related per-share amount (disclosed here or in the notes)	Notes to the financial statements - A statement of compliance with Ind AS - Significant accounting policies applied, including measurement bases used - Judgements management has made in applying accounting policies that have the most significant effect on the amounts recognised - Key sources of estimation uncertainty that carry a significant risk of a material adjustment within the next financial year - Information not presented elsewhere in the statements but relevant to understanding any of them
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IDENTIFICATION & REPORTING PERIOD

Identification requirements - Name of the reporting entity - Whether the statements cover the individual entity or a group - The reporting date/period covered - Presentation currency and level of rounding used	Reporting period - Financial statements are presented at least annually - If the period is longer or shorter than a year, the entity discloses that fact, the reason, and that comparative amounts are not entirely comparable	Capital disclosures Information enabling users to evaluate the entity's objectives, policies and processes for managing capital, including any externally imposed capital requirements and compliance with them
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Statement of Cash Flows

Where the cash actually came from and went — split into operating, investing and financing activities.

OVERALL CONSIDERATIONS

Purpose

Cash flow information helps users assess an entity's ability to generate cash and cash equivalents, and its needs to utilise them. It is the one primary statement prepared on a strict cash basis rather than accrual.

Cash equivalents

Short-term, highly liquid investments readily convertible to known amounts of cash, subject to an insignificant risk of changes in value — typically original maturity of 3 months or less.

Bank overdrafts

Included as a component of cash equivalents where repayable on demand and forming an integral part of cash management, rather than being treated as financing.

THE THREE ACTIVITY CLASSIFICATIONS

Operating

- Principal revenue-producing activities
- Cash receipts from sale of goods/services
- Cash payments to suppliers and employees
- Usually determined via the indirect method — adjusting profit for non-cash items and working capital movements

Investing

- Acquisition and disposal of long-term assets and other investments not classified as cash equivalents
- Purchase/sale of PPE, intangibles, and investments in other entities

Financing

- Activities that change the size/composition of contributed equity and borrowings
- Proceeds from share issues, borrowings raised/repaid, dividends paid

SPECIAL ITEMS & DISCLOSURES

Interest & dividends

Classified consistently period to period; interest and dividends paid are commonly classified as financing, interest and dividends received as investing — though operating classification is also permitted for a financial institution.

Non-cash transactions

Investing/financing transactions not involving cash (e.g. acquiring an asset via a finance lease, or converting debt to equity) are excluded from the statement but disclosed separately elsewhere.

Disclosures

Components of cash and cash equivalents, a reconciliation to the balance sheet, and significant cash/cash-equivalent balances not available for use by the group.

Accounting Policies, Changes in Accounting Estimates and Errors

How to select accounting policies, and the very different treatment for changing an estimate versus correcting an error.

ACCOUNTING POLICIES

Selection

Where an Ind AS specifically applies, its requirements govern. In its absence, management uses judgement to develop a policy that is relevant and reliable, referring to other Ind AS on similar issues and the Framework.

Consistency

Selected policies applied consistently to similar transactions, unless an Ind AS specifically permits categorisation warranting different policies.

Changing a policy

Only when required by an Ind AS, or when the change results in more relevant and reliable information — applied retrospectively unless a standard's transition provisions say otherwise.

ESTIMATES VS ERRORS — THE CRITICAL DISTINCTION

Change in accounting estimate

- A revision resulting from new information or developments — e.g. revising a useful life or a doubtful debt allowance
- Recognised **prospectively** — in the period of change and future periods, never restating the past

Prior period error

- Omissions or misstatements from failing to use, or misusing, reliable information available when the prior statements were authorised
- Corrected **retrospectively** — restating comparatives as if the error had never occurred

DISCLOSURES

- Nature and amount of a change in accounting policy, and the reason
- Nature and amount of a change in accounting estimate affecting the current or future periods
- Nature of a prior period error and, for each period presented, the amount of correction for each financial statement line item

Events After the Reporting Period

Whether a subsequent event should change the numbers in the financial statements, or simply be disclosed in a note.

THE CORE TEST

Adjusting events

- Provide evidence of conditions that **existed at the reporting date**
- Example: a court case confirms an obligation that already existed at year-end
- Financial statements are **adjusted** to reflect the new evidence

Non-adjusting events

- Indicative of conditions that **arose after** the reporting date
- Example: a major acquisition or a decline in market value of investments after year-end
- Financial statements are **not adjusted**, but material items are disclosed

GOING CONCERN & DIVIDENDS

Going concern deterioration

If management determines after the reporting date that it intends to liquidate, or has no realistic alternative, the financial statements are not prepared on a going concern basis at all — this overrides the adjusting/non-adjusting distinction entirely.

Dividends declared after year-end

Dividends proposed or declared after the reporting date are not recognised as a liability at that date — they relate to events after the period and are disclosed in the notes only.

DISCLOSURES

- Date the financial statements were authorised for issue, and who gave that authorisation
- For each material non-adjusting event: its nature and an estimate of its financial effect (or a statement that estimation isn't practicable)
- Any update to disclosures about conditions existing at the reporting date, in light of new information received after that date

Related Party Disclosures

Who counts as a related party, and exactly what has to be disclosed about dealings with them.

WHO IS A RELATED PARTY

Control & significant influence

Parents, subsidiaries, fellow subsidiaries, associates, and joint ventures of the reporting entity or its group.

Key management personnel (KMP)

Persons with authority and responsibility for planning, directing and controlling the entity's activities — directly or through a director — plus their close family members.

Post-employment benefit plans

Any benefit plan for the employees of the entity or a related entity is itself treated as a related party.

WHAT MUST BE DISCLOSED

Relationships

Parent-subsidiary relationships disclosed regardless of whether any transactions occurred between them — the mere relationship must be stated.

KMP compensation

Disclosed in total and by category — short-term benefits, post-employment, other long-term, termination and share-based payment.

Transactions & balances

Nature of the relationship, amount of transactions, outstanding balances (with terms/security and any guarantees), and provisions for doubtful debts related to those balances.

EXEMPTIONS & COMMON TRAPS

Government-related entity exemption

A partial exemption from the detailed disclosures applies to transactions with a government that has control, joint control or significant influence, and other entities related to the same government.

Common error

Disclosing only transactions above an arbitrary internal materiality threshold, or omitting relationships where no transactions took place in the period — both understate what Ind AS 24 actually requires.

Interim Financial Reporting

Each interim period is treated as its own standalone reporting period, not just a slice carved out of the annual results.

THE DISCRETE VIEW

Discrete vs integral

Ind AS 34 takes the "discrete" view — each interim period's results are determined using the same recognition and measurement principles as for a full year, not by allocating a proportionate share of expected annual results.

Practical effect

Costs that benefit more than one interim period (e.g. planned major maintenance) are anticipated or deferred only if it would also be appropriate to anticipate or defer that type of cost at year-end.

MINIMUM COMPONENTS & RECOGNITION

Minimum components

A condensed balance sheet, condensed statement of P&L (with OCI), condensed statement of changes in equity, condensed cash flow statement, and selected explanatory notes — full statements are not mandated.

Recognition & measurement

The same accounting policies as the annual financial statements are applied; a change in policy is reflected by restating prior interim periods of the current year, consistent with Ind AS 8.

SEASONALITY & TAX

Seasonal businesses

Revenue that is seasonal or occasional is not anticipated or deferred at an interim date if anticipation or deferral would not be appropriate at year-end — disclosure of the seasonality itself is encouraged.

Income tax

Interim tax expense is calculated by applying the estimated **weighted average annual effective tax rate** to the interim period's pre-tax income, not a literal interim computation.

Presentation and Disclosure in Financial Statements

The newest standard — restructures the statement of profit and loss into defined categories with mandatory subtotals.

WHY IT EXISTS

The problem it solves

Under the old model, entities had wide discretion over which subtotals to show in the P&L (e.g. "operating profit" meant different things at different companies), making cross-company comparison difficult.

The fix

A required structure for the P&L with defined categories and two mandatory subtotals, plus new disclosure requirements for company-specific ("management-defined") performance measures.

THE FIVE P&L CATEGORIES

Operating

The default category — includes income and expenses not classified into the other four; effectively a residual category, not a narrow definition.

Investing

Returns from assets that generate a return individually and largely independently of an entity's other resources, e.g. investment income, associates/JV results.

Financing

Income/expenses from transactions involving only the raising of finance, plus interest expense on all liabilities regardless of purpose.

Income tax

Kept as its own separate category, unchanged in spirit from the current approach.

Discontinued operations

Also a distinct category, consistent with Ind AS 105's existing separate-presentation requirement.

MANDATORY SUBTOTALS & MPMS

Two required subtotals

Operating profit or loss and **profit or loss before financing and income tax** must both be presented on the face of the P&L.

Management-defined performance measures (MPMs)

Company-specific subtotals of income/expense used in public communications (e.g. "adjusted EBITDA") must now be disclosed in a single note, reconciled to the nearest Ind AS-specified subtotal, with the tax and NCI effect of each adjustment explained.

Inventories

Carry inventory at the lower of cost and net realisable value — never above what it originally cost.

MEASUREMENT

Cost

All costs of purchase, conversion, and other costs incurred in bringing inventories to their present location and condition — including production overheads absorbed on a normal-capacity basis.

Net realisable value (NRV)

Estimated selling price in the ordinary course of business, less estimated costs of completion and estimated costs necessary to make the sale.

The rule

Inventories are carried at the **lower of cost and NRV** — a write-down to NRV is reversed in a later period if the circumstances that caused it no longer exist, but never above original cost.

COST FORMULAS

Specific identification

Used for items that are not ordinarily interchangeable, and goods/services produced and segregated for specific projects.

FIFO or weighted average

For interchangeable items, cost is assigned using First-In-First-Out or a weighted average cost formula — applied consistently to inventories of similar nature and use. LIFO is not permitted.

DISCLOSURES

- Accounting policy adopted, including the cost formula used
- Total carrying amount, in classifications appropriate to the entity
- Carrying amount of inventories carried at NRV
- Amount of any write-down recognised as an expense, and the amount of any reversal
- Carrying amount of inventories pledged as security for liabilities

Property, Plant and Equipment

Capitalise what brings the asset to working condition, then depreciate it component by component over useful life.

INITIAL RECOGNITION

Recognition criteria

Recognised when it is probable that future economic benefits will flow to the entity, and the cost can be measured reliably.

Cost includes

Purchase price, import duties, directly attributable costs of bringing the asset to working condition (site prep, installation, professional fees), and the initial estimate of dismantling/restoration costs.

Component accounting

Significant parts of an asset with different useful lives (e.g. an aircraft engine vs its frame) are identified and depreciated separately — mandatory, not optional.

SUBSEQUENT MEASUREMENT

Cost model

Carried at cost less accumulated depreciation and accumulated impairment losses — the default and most common choice in India.

Revaluation model

Carried at fair value at the revaluation date less subsequent depreciation; the entire class of assets must be revalued, with regularity sufficient to avoid a material difference from fair value. Increases go to a revaluation surplus in OCI; decreases first reverse any existing surplus, then hit P&L.

DERECOGNITION & DISCLOSURES

Derecognition

On disposal, or when no future economic benefits are expected — the gain/loss (proceeds less carrying amount) is recognised in P&L, never treated as revenue.

Disclosures

Measurement bases, depreciation methods and rates, gross carrying amount and accumulated depreciation, and a reconciliation of the carrying amount at the beginning and end of the period.

Intangible Assets

Research is always expensed; development is capitalised only once six strict criteria are all met.

RECOGNITION — RESEARCH VS DEVELOPMENT

Research phase

Original, planned investigation to gain new knowledge/understanding — expenditure is **always expensed** as incurred; no intangible asset can arise from research.

Development phase

Application of research findings to a plan/design for producing something new — capitalised only if **all six** criteria are demonstrated: technical feasibility, intention to complete, ability to use/sell, how it will generate probable future benefits, availability of resources, and reliable measurement of the expenditure.

USEFUL LIFE & AMORTISATION

Finite useful life

Amortised on a systematic basis over that useful life, and tested for impairment under Ind AS 36 only when indicators exist.

Indefinite useful life

Not amortised — instead tested for impairment **annually** regardless of whether indicators exist, and the "indefinite" assessment itself is reviewed each period.

ITEMS NEVER RECOGNISED AS ASSETS

- Internally generated goodwill
- Internally generated brands, mastheads, publishing titles, customer lists — indistinguishable from the cost of developing the business as a whole
- Start-up, training, advertising and relocation costs

Investment Property

Property held for rental income or capital appreciation, not for use in the business or for sale in the ordinary course.

SCOPE & CLASSIFICATION

Investment property

Land or a building (or part) held to earn rentals or for capital appreciation, or both — held by the owner or under a finance lease.

Owner-occupied carve-out

Property used in the production/supply of goods/services, or for administrative purposes, is excluded — it falls under Ind AS 16 instead. Mixed-use property is split proportionately if the portions can be sold/leased separately.

MEASUREMENT

Cost model (mandatory in India)

Ind AS carves out the IFRS fair-value-model option — Indian entities apply the cost model per Ind AS 16, with fair value **disclosed** in the notes rather than used for measurement.

Why the carve-out

Reliable fair valuation across India's diverse real estate markets was judged impractical at the time of Ind AS convergence — this is one of the clearest Ind AS vs IFRS divergences.

TRANSFERS & DISCLOSURES

Transfers

Transfer to/from investment property only when there is a genuine change in use, evidenced by commencement/end of owner-occupation, development for sale, or an operating lease to another party.

Disclosures

The measurement model used, criteria for classification when classification is difficult, and — since the cost model applies — the fair value of investment property disclosed in the notes.

Impairment of Assets

If carrying amount exceeds recoverable amount, write the asset down — recoverable amount is the higher of two possible exits.

THE IMPAIRMENT TEST

Trigger

Assets are tested for impairment whenever indicators exist (external: market value decline, adverse changes; internal: obsolescence, poor performance) — goodwill and indefinite-life intangibles are tested annually regardless.

Recoverable amount

The **higher of** fair value less costs of disposal, and value in use.

Impairment loss

Recognised when carrying amount > recoverable amount — the excess is expensed immediately (or first reduces a revaluation surplus, if any).

VALUE IN USE & CGUS

Value in use

The present value of future cash flows expected from the asset, using pre-tax cash flows and a pre-tax discount rate reflecting current market assessments of the time value of money and asset-specific risks.

Cash-generating unit (CGU)

Where an asset doesn't generate independent cash inflows, it's tested as part of the smallest identifiable group of assets that does — the CGU. Goodwill is allocated to CGUs (or groups of CGUs) for testing.

REVERSALS

Reversal permitted

For assets other than goodwill, an impairment loss is reversed if the estimates used to determine recoverable amount have changed — capped at the carrying amount that would have existed (net of depreciation) had no impairment been recognised.

Goodwill impairment

Never reversed, even if the circumstances that caused it improve — a one-way ratchet unique to goodwill.

Non-current Assets Held for Sale and Discontinued Operations

Once genuinely held for sale, stop depreciating and carry the asset at the lower of two numbers.

CLASSIFICATION AS HELD FOR SALE

Availability

The asset (or disposal group) must be available for immediate sale in its present condition, subject only to terms that are usual and customary.

Highly probable

Sale must be highly probable — management committed to a plan, an active programme to locate a buyer, marketed at a reasonable price, and expected to complete within one year.

Measurement on classification

Measured at the **lower of** carrying amount and fair value less costs to sell — and depreciation/amortisation **stops** from the date of classification.

DISCONTINUED OPERATIONS

Definition

A component that has either been disposed of, or is classified as held for sale, and represents a separate major line of business or geographical area, or is a subsidiary acquired exclusively with a view to resale.

Presentation

Results of discontinued operations are presented as a single line on the face of the P&L (post-tax profit/loss plus gain/loss on disposal), separately from continuing operations — with a supporting analysis in the notes.

COMMON ERRORS

- Continuing to depreciate an asset after it meets the held-for-sale criteria
- Classifying an asset as held for sale before a genuine, committed plan and active marketing exist
- Presenting a discontinued operation's results within continuing operations instead of as a separate line

Government Grants

Recognise the grant in line with the expense or asset it's compensating for — never as a direct credit straight to equity.

THE INCOME APPROACH

Core principle

Grants are recognised in P&L on a systematic basis over the periods in which the entity recognises the related costs the grant is intended to compensate — matching, not immediate recognition on receipt.

Recognition threshold

Recognised only when there is reasonable assurance that the entity will comply with attached conditions, and that the grant will actually be received.

PRESENTATION CHOICES

Grants related to assets

Presented either as deferred income (released to P&L over the asset's useful life) or by deducting the grant from the asset's carrying amount (reducing future depreciation) — an accounting policy choice.

Grants related to income

Presented either as a separate credit/"other income" line, or deducted from the related expense — also a policy choice, consistently applied.

REPAYMENT & NON-MONETARY GRANTS

Repayable grants

Treated as a change in accounting estimate — any excess of the repayment over unamortised deferred income is expensed immediately.

Non-monetary grants

E.g. land transferred for a token amount — recorded at fair value of the non-monetary asset, with the grant recognised on the same income-approach basis.

Borrowing Costs

Interest on funds borrowed specifically to build a qualifying asset is capitalised, not expensed — but only while construction is genuinely active.

THE CORE RULE

Qualifying asset

An asset that necessarily takes a substantial period of time to get ready for its intended use or sale — e.g. a plant under construction, not an asset ready to use when acquired.

Capitalisation requirement

Borrowing costs directly attributable to acquiring, constructing or producing a qualifying asset are capitalised as part of that asset's cost — mandatory, not a policy choice.

HOW MUCH TO CAPITALISE

Specific borrowings

Actual borrowing costs incurred on that borrowing during the period, less any investment income earned on temporarily investing the unused funds.

General borrowings

A weighted average **capitalisation rate** is applied to expenditure on the asset funded from general borrowings, capped at the actual borrowing costs incurred in the period.

SUSPENSION & CESSATION

Suspend capitalisation

During extended periods in which active development is interrupted — but not for temporary delays or delays that are a necessary part of getting the asset ready.

Cease capitalisation

When substantially all activities necessary to prepare the asset for its intended use are complete — even if minor administrative work remains.

Financial Instruments: Presentation

Substance over form: if there's a contractual obligation to deliver cash, it's a liability — whatever it's legally called.

THE LIABILITY VS EQUITY TEST

Financial liability

A contractual obligation to deliver cash/another financial asset, or to exchange instruments under potentially unfavourable conditions — e.g. redeemable preference shares with a mandatory redemption date.

Equity instrument

Evidences a residual interest after deducting all liabilities — no contractual obligation to deliver cash, and (for a puttable/derivative-on-own-equity instrument) it must also settle via a **fixed number of own shares for a fixed amount of cash** — the "fixed-for-fixed" condition.

COMPOUND INSTRUMENTS & TREASURY SHARES

Compound instruments

E.g. a convertible bond — split into a liability component (PV of cash flows discounted at the market rate for a similar bond without conversion) and an equity component (residual: total proceeds minus the liability component).

Treasury shares

An entity's own shares reacquired are deducted from equity — no gain/loss is recognised in P&L on purchase, sale, issue or cancellation of own equity instruments.

OFFSETTING

A financial asset and liability are offset (net presented) only when the entity currently has a **legally enforceable right** to set off the recognised amounts, and intends either to settle net or to realise the asset and settle the liability simultaneously — both conditions, not just one.

Financial Instruments: Disclosures

Tell users how significant financial instruments are to the entity, and exactly what risks they carry.

SIGNIFICANCE DISCLOSURES

By category

Carrying amounts of financial assets/liabilities by each Ind AS 109 measurement category (amortised cost, FVOCI, FVTPL), plus items of income, expense, gains and losses recognised for each.

Fair value hierarchy cross-reference

For instruments measured at fair value, disclosed by Ind AS 113 Level 1/2/3 — this standard leans directly on Ind AS 113's hierarchy rather than defining its own.

THE THREE RISK CATEGORIES

Credit risk

Maximum exposure to credit risk, collateral held, and a description of how credit risk is managed — closely tied to the Ind AS 109 ECL disclosures.

Liquidity risk

A maturity analysis for financial liabilities, showing the remaining contractual maturities, and how liquidity risk is managed.

Market risk

Sensitivity analysis for each type of market risk (currency, interest rate, other price risk) the entity is exposed to, showing the effect on profit/loss and equity of reasonably possible changes.

COMMON MISTAKES

Providing generic, boilerplate risk disclosures instead of entity-specific quantified sensitivity analysis; and forgetting that hedge accounting disclosures (nominal amounts, ineffectiveness) sit within this standard's scope, not Ind AS 109's.

Financial Instruments

Two questions decide how a debt asset is classified: the business model, and whether cash flows are just principal and interest.

CLASSIFICATION OF FINANCIAL ASSETS

Amortised cost

Business model is to hold and collect contractual cash flows, AND those cash flows are solely payments of principal and interest (the SPPI test).

FVOCI

Business model is to both collect cash flows and sell, and cash flows pass SPPI. Equity investments can also elect FVOCI (irrevocably), but gains/losses are never recycled to P&L.

FVTPL

The default/residual category — anything not meeting the amortised cost or FVOCI conditions, including all derivatives and most equity investments by default.

IMPAIRMENT & HEDGE ACCOUNTING

Expected Credit Loss (ECL)

Forward-looking impairment — a simplified approach (always lifetime ECL) for trade receivables, and a 3-stage general approach (12-month vs lifetime ECL, based on Significant Increase in Credit Risk) for loans and other debt instruments.

Hedge accounting

Cash flow hedges defer the effective portion of a hedging instrument's gain/loss in OCI until the hedged transaction hits P&L; fair value hedges take both the hedged item and instrument's changes to P&L immediately. Qualification uses a principles-based test (economic relationship, credit risk not dominant, consistent hedge ratio) rather than the old 80-125% bright line.

OTHER KEY MECHANICS

Initial measurement

Fair value plus transaction costs (unless FVTPL, where transaction costs are expensed immediately).

Financial guarantee contracts

Recognised at fair value on Day 1 even when issued for no fee (common for intra-group guarantees), then measured at the higher of the ECL allowance and the unamortised balance.

EIR method

Interest income/expense on amortised-cost and FVOCI debt instruments is recognised using the effective interest rate, not the coupon or a straight-line basis.

Consolidated Financial Statements

Control is the single basis for consolidation — power over the investee, exposure to returns, and the ability to use that power to affect returns.

THE CONTROL MODEL

Power

Existing rights that give the current ability to direct the investee's relevant activities — not necessarily majority voting rights; de facto control from a large minority stake plus dispersed other holdings can also qualify.

Exposure to returns

Rights to variable returns from involvement with the investee — which can vary and may be positive, negative, or both.

Link between the two

The investor must have the ability to use its power to affect the amount of its own returns — power without this link (e.g. a pure agent) does not create control.

MECHANICS OF CONSOLIDATION

Line-by-line consolidation

Assets, liabilities, income and expenses of the parent and subsidiaries are combined line by line, eliminating intra-group balances, transactions, and unrealised profits.

Non-controlling interests (NCI)

Presented within equity, separately from the parent's own equity — measured either at fair value or at NCI's proportionate share of the subsidiary's identifiable net assets, an election made per acquisition.

LOSS OF CONTROL

On losing control, the parent derecognises the subsidiary's assets/liabilities and NCI, recognises any retained investment at fair value, and recognises the resulting gain/loss in P&L — the retained investment's new fair value becomes its new cost basis going forward.

Joint Arrangements

Two parties with joint control — but the accounting differs sharply depending on whether it's a joint operation or a joint venture.

JOINT CONTROL & CLASSIFICATION

Joint control

Contractually agreed sharing of control, existing only when decisions about relevant activities require unanimous consent of the parties sharing control.

Classification test

Based on the parties' **rights and obligations** — assessed from the structure, legal form, contractual terms, and other facts and circumstances, not merely the vehicle's legal form.

JOINT OPERATION VS JOINT VENTURE

Joint operation

Parties have rights to the **assets** and obligations for the **liabilities** — each operator recognises its own share of assets, liabilities, revenue and expenses directly, line by line.

Joint venture

Parties have rights to the **net assets** of the arrangement, typically structured through a separate vehicle — accounted for using the **equity method** under Ind AS 28, a single line item.

COMMON TRAP

Assuming a separate legal vehicle automatically means joint venture treatment — the legal wrapper is only one factor; if the contractual terms give the parties rights to the underlying assets and obligations for liabilities, it's still a joint operation despite the vehicle.

Disclosure of Interests in Other Entities

One consolidated disclosure standard covering subsidiaries, joint arrangements, associates, and unconsolidated structured entities.

WHY ONE COMBINED STANDARD

The problem before

Disclosure requirements for subsidiaries, JVs and associates were scattered across Ind AS 110, 111 and 28 individually — hard for users to get a single picture of an entity's full web of interests.

The objective

Enable users to evaluate the nature of, and risks associated with, interests in other entities, and the effects of those interests on financial position, performance and cash flows.

KEY DISCLOSURES

Significant judgements

Judgements made in determining control, joint control, or significant influence — especially where the conclusion isn't obvious from voting rights alone (de facto control, contractual arrangements).

Material NCI

For each subsidiary with material NCI: ownership/voting proportion, profit/TCI allocated to NCI, dividends paid, and summarised financial information.

Structured entities

Nature and extent of interests in unconsolidated structured entities, associated risks, and any non-contractual financial support provided.

Investments in Associates and Joint Ventures

Significant influence — not control — means a single line on the balance sheet that grows with the investee's profit.

SIGNIFICANT INFLUENCE

Definition

The power to participate in financial and operating policy decisions, without control or joint control — typically presumed at a **20-50%** voting interest, rebuttable either way with evidence.

Other indicators

Board representation, participation in policy-making, material transactions, interchange of managerial personnel, or provision of essential technical information — any of these can indicate significant influence below 20%.

THE EQUITY METHOD

Initial & subsequent

Investment initially recognised at cost, then increased/decreased for the investor's share of the investee's post-acquisition profit or loss, and reduced for dividends received.

OCI & losses

The investor's share of the investee's OCI is also recognised in the investor's own OCI; if losses reduce the investment to nil, further losses stop being recognised unless the investor has incurred obligations on the investee's behalf.

IMPAIRMENT & DISCONTINUING

Impairment

The entire carrying amount of the investment is tested for impairment as a single asset under Ind AS 36, not by testing the investee's underlying assets separately.

Loss of significant influence

The equity method stops, and any retained investment is remeasured to fair value, with the difference recognised in P&L.

Separate Financial Statements

The parent's own standalone books — investments in subsidiaries are never consolidated here, and there's a genuine accounting policy choice for how to carry them.

SCOPE

What "separate" means

Financial statements prepared in addition to consolidated statements (or by an investor with no subsidiaries but with associates/JVs), in which investments are accounted for on a basis other than reported performance/net assets of the investees.

Mandatory in India

Indian company law requires standalone financial statements for every company, in addition to consolidated statements for groups — making this standard relevant to essentially every Indian corporate.

THE MEASUREMENT CHOICE

At cost

The investment in a subsidiary, JV or associate is carried at cost, less any impairment — the most common approach.

Per Ind AS 109

Measured as a financial asset — typically FVTPL or FVOCI, bringing fair value volatility into the standalone accounts.

Equity method

Also permitted as a policy choice, applying the same mechanics as Ind AS 28 even in the separate statements.

KEY POINT

The same accounting policy must be applied for each category of investment (all subsidiaries, all JVs, all associates) — an entity cannot cherry-pick a different basis for individual investments within the same category.

Business Combinations

Identify the acquirer, measure everything at fair value on the acquisition date, and whatever's left over is goodwill.

THE ACQUISITION METHOD — FOUR STEPS

1. Identify the acquirer

The entity that obtains control — using the Ind AS 110 control model, even in a "merger of equals" structure.

2. Determine the acquisition date

The date the acquirer obtains control — usually the closing date, not necessarily the legal completion date.

3. Recognise assets/liabilities

Identifiable assets acquired and liabilities assumed are measured at acquisition-date **fair value** — largely regardless of how they were carried in the acquiree's own books.

4. Recognise goodwill

Consideration transferred, plus NCI, plus fair value of any previously-held interest, **less** net identifiable assets acquired at fair value.

SPECIAL SITUATIONS

Bargain purchase

If net identifiable assets exceed the consideration transferred, the excess is recognised immediately as a **gain in P&L** — after first reassessing whether everything was correctly identified and measured.

Contingent consideration

Measured at acquisition-date fair value; classified as a liability (remeasured through P&L each period) or as equity (never remeasured), based on the substance of the arrangement.

ACQUISITION-RELATED COSTS

Costs like advisory, legal, and due-diligence fees are **expensed as incurred** — they are not part of the consideration transferred and do not affect goodwill, a frequent point of confusion.

Revenue from Contracts with Customers

Five steps, and revenue follows the transfer of control — not the receipt of cash.

THE FIVE-STEP MODEL

- **1. Identify the contract** — approved, rights identifiable, payment terms identifiable, commercial substance, collection probable
- **2. Identify performance obligations** — distinct promises within the contract
- **3. Determine the transaction price** — including variable consideration, constrained to avoid probable reversal
- **4. Allocate the price** — to each obligation based on relative standalone selling prices
- **5. Recognise revenue** — as (or when) each obligation is satisfied

POINT IN TIME VS OVER TIME

Over time

Recognised progressively if: the customer simultaneously receives and consumes benefits as the entity performs; the entity's performance creates/enhances an asset the customer controls as it's created; OR the asset has no alternative use AND the entity has an enforceable right to payment for performance to date.

Point in time

The default if none of the over-time criteria are met — revenue is recognised in one lump sum when control transfers (e.g. delivery, or possession for real estate sales).

VARIABLE CONSIDERATION & CONTRACT BALANCES

Variable consideration

Discounts, rebates, penalties, bonuses — estimated using expected value or most-likely-amount, included in the price only to the extent a significant reversal is not probable.

Contract assets/liabilities

A contract asset arises when the entity has performed but not yet billed; a contract liability arises when consideration is received before performance (e.g. customer advances).

Leases

A single lessee model — almost every lease comes onto the balance sheet as a right-of-use asset and a lease liability.

SCOPE & THE LEASE TEST

Definition	Identified asset	Right to control	Short-term exemption	Low-value exemption	Lease term
A contract, or part of a contract, that conveys the right to control the use of an identified asset for a period of time in exchange for consideration.	Explicitly or implicitly specified in the contract. A supplier's substantive right to substitute the asset throughout the period of use defeats identification.	The customer obtains substantially all of the economic benefits from use AND has the right to direct how and for what purpose the asset is used throughout the period.	Optional. Lease term of 12 months or less at commencement, with no purchase option. Elected by class of underlying asset.	Optional, elected lease by lease. Assets of low value when new (e.g. laptops, small office furniture) regardless of materiality to the lessee overall.	Non-cancellable period, plus extension options the lessee is reasonably certain to exercise, less termination options it is reasonably certain to exercise.

LESSEE — INITIAL MEASUREMENT

Lease liability	Right-of-use (ROU) asset
- Present value of unpaid lease payments at commencement - Discounted at the rate implicit in the lease, or the lessee's incremental borrowing rate (IBR) if the implicit rate isn't readily determinable - Includes fixed payments (less incentives receivable), in-substance fixed payments, variable payments linked to an index/rate, expected residual value guarantees, purchase-option price if reasonably certain, and termination penalties if the term reflects exercising a termination option	- Initial lease liability amount - Plus lease payments made at or before commencement, less any incentives received - Plus initial direct costs incurred by the lessee - Plus an estimate of restoration/dismantling/removal costs, if the lessee has an obligation to incur them

LESSEE — SUBSEQUENT MEASUREMENT

Lease liability	ROU asset
- Increased for interest on the liability, calculated using the effective interest rate (EIR) method at the discount rate determined at commencement - Reduced for lease payments made - Remeasured — with a corresponding ROU asset adjustment — on a lease modification not accounted for as a separate lease, or when there's a change in the lease term, in the assessment of a purchase option, or in amounts expected under a residual value guarantee or an index/rate-linked payment	- Cost model (default): depreciated on a straight-line basis over the shorter of the asset's useful life and the lease term (or to the end of useful life if ownership transfers or a purchase option is reasonably certain) - Tested for impairment under Ind AS 36, like any other non-financial asset - Adjusted for any remeasurement of the lease liability

LESSOR ACCOUNTING (LARGELY UNCHANGED FROM THE OLD MODEL)

Classification

Each lease is classified as a finance lease or an operating lease at inception, based on whether substantially all the risks and rewards of ownership are transferred.

Finance lease

The lessor derecognises the underlying asset and recognises a net investment in the lease (a receivable), with finance income recognised over the lease term using a constant periodic rate of return.

Operating lease

The lessor keeps the underlying asset on its own balance sheet, continues to depreciate it, and recognises lease income — typically on a straight-line basis — over the lease term.

Insurance Contracts

Premium received is a deposit, not revenue — profit is earned only as the insurer actually provides coverage.

BUILDING BLOCKS

Fulfilment cash flows (FCF)

Present value of expected future cash inflows (premiums) less outflows (claims, expenses), discounted at a current market-consistent rate.

Risk Adjustment (RA)

An explicit charge for bearing the uncertainty in the amount and timing of cash flows — separately quantified and disclosed, unlike the old regime's implicit margins.

Contractual Service Margin (CSM)

The unearned profit of a group of contracts — released to P&L as insurance revenue systematically as coverage is provided; can never be negative.

THE THREE MEASUREMENT MODELS

GMM (default)

Full FCF + RA + CSM building-block approach for long-duration contracts, mainly non-par life insurance.

PAA (simplification)

Available for coverage periods of 12 months or less — covers most general insurance. Simplifies the liability for remaining coverage only; claims incurred still use full FCF + RA.

VFA (participating)

Modified GMM for contracts where policyholders share in a defined pool's returns — changes in the insurer's share of underlying item fair value adjust the CSM rather than hitting P&L.

ONEROUS CONTRACTS

If a group of contracts is loss-making at inception (FCF + RA exceed expected premiums), the loss is recognised **immediately** in P&L — tested per annual cohort, so a single bad underwriting year can be flagged even if the broader book is profitable.

Fair Value Measurement

One consistent definition of fair value, used everywhere it's required or permitted across all other standards.

THE DEFINITION

Exit price

The price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date — an exit notion, not an entry/transaction price.

Principal/most advantageous market

Measured based on the market with the greatest volume/activity for the asset/liability (principal market), or, absent one, the market that maximises the amount received/minimises the amount paid.

THE THREE-LEVEL HIERARCHY

Level 1

Quoted prices in active markets for identical assets/liabilities — the most reliable, given the highest priority.

Level 2

Inputs other than quoted prices that are observable, directly or indirectly (e.g. quoted prices for similar instruments, or observable market data).

Level 3

Unobservable inputs — used only when relevant observable inputs aren't available; requires the most extensive disclosure given the greater judgement involved.

VALUATION TECHNIQUES

Market approach (prices from actual market transactions), income approach (discounted cash flows or option-pricing models), and cost approach (current replacement cost) — the technique chosen must maximise the use of relevant observable inputs.

Income Taxes

Compare the tax base to the carrying amount of every asset and liability — the gap is deferred tax, recognised on the balance sheet.

THE BALANCE SHEET APPROACH

Temporary differences

The difference between an asset/liability's carrying amount and its tax base — **taxable** temporary differences give rise to a deferred tax liability; **deductible** ones give rise to a deferred tax asset.

Tax base

The amount attributed to the asset/liability for tax purposes — e.g. for an asset, the amount that will be deductible against future taxable economic benefits.

RECOGNITION OF DEFERRED TAX ASSETS

Probability threshold

A DTA is recognised only to the extent it is **probable** that future taxable profit will be available against which the deductible temporary difference (or unused tax loss/credit) can be utilised.

Reassessed each period

Unrecognised DTAs are reassessed at each reporting date, and recognised to the extent it becomes probable future profit will allow recovery.

MEASUREMENT & PRESENTATION

Measurement

Using tax rates (and laws) that have been enacted or substantively enacted by the reporting date, reflecting the rate expected to apply when the asset is realised or liability settled — **never discounted**.

Offsetting DTA/DTL

Only when there's a legally enforceable right to set off current tax assets against liabilities, and the deferred amounts relate to the same taxable entity and tax authority.

Earnings Per Share

Basic EPS uses actual weighted shares; diluted EPS adds back every instrument that could convert into more.

BASIC EPS

Formula

Profit or loss attributable to ordinary equity holders of the parent, divided by the **weighted average number** of ordinary shares outstanding during the period.

Weighted average

Shares issued during the period are time-weighted from their issue date; a bonus issue or share split is applied retrospectively to all periods presented, as if it had always been in effect.

DILUTED EPS

Adjustments

Both the numerator (profit) and denominator (shares) are adjusted for the effects of all **dilutive** potential ordinary shares — convertible bonds, options, warrants, and contingently issuable shares.

Anti-dilution rule

A potential ordinary share is included only if it would **decrease** EPS (or increase a loss per share) — instruments that would increase EPS are excluded (anti-dilutive) and never used to inflate the reported diluted figure.

PRESENTATION

Both basic and diluted EPS are presented with equal prominence on the face of the P&L, for profit/loss from continuing operations and for total profit/loss — for every period presented, including retrospective adjustment for any subsequent bonus issue/split.

Employee Benefits

Short-term benefits are simple accrual accounting; defined benefit plans need full actuarial valuation.

CATEGORIES OF BENEFITS

Short-term

Wages, salaries, compensated absences expected to be settled within 12 months — recognised as a simple expense/liability as service is rendered, undiscounted.

Post-employment

Pensions, gratuity — split into defined contribution (expense = contribution made) and defined benefit (far more complex, below).

Other long-term & termination

Long-service awards, sabbaticals (long-term); and termination benefits, recognised at the earlier of when the offer can't be withdrawn or when related restructuring costs are recognised.

DEFINED BENEFIT PLANS

Projected Unit Credit method

The mandatory actuarial technique — each period of service creates an additional unit of benefit entitlement, each valued separately to build up the final obligation.

Net defined benefit liability/asset

Present value of the obligation, less the fair value of plan assets — service cost and net interest hit P&L; **actuarial gains/losses (remeasurements) go to OCI** and are never recycled to P&L.

GRATUITY IN INDIA

India's statutory Payment of Gratuity Act creates a defined benefit obligation for virtually every employer — requiring an annual actuarial valuation under Ind AS 19, regardless of company size, making this one of the most universally applicable standards on the list.

Share-Based Payment

ESOP cost is fixed at the grant-date fair value and spread over vesting — never remeasured for later share price moves.

EQUITY-SETTLED AWARDS

Measurement

Measured at the **fair value at grant date**, using an option-pricing model where a market price isn't available — this value is **locked in** and never adjusted for subsequent share price changes.

Expense recognition

Recognised as an expense (with a corresponding credit to equity) over the vesting period, adjusted only for the number of awards actually expected to vest (updated each period for non-market vesting conditions).

VESTING CONDITIONS

Market conditions

E.g. a share price target — factored into the grant-date fair value itself; the expense is recognised regardless of whether the market condition is actually achieved.

Non-market (service/performance) conditions

E.g. continued employment, or an EPS target — not factored into fair value; instead, the number of awards expected to vest is re-estimated each period, truing up the expense.

CASH-SETTLED AWARDS

Stock appreciation rights and similar cash-settled awards are measured at the fair value of the liability, **remeasured at each reporting date** (and at settlement) with changes recognised in P&L — unlike equity-settled awards, which are never remeasured.

Provisions, Contingent Liabilities and Contingent Assets

Probable and estimable means provide for it; merely possible means disclose only; remote means ignore it entirely.

RECOGNISING A PROVISION — THREE TESTS

Present obligation

A legal obligation (from a contract, legislation, or other law), or a constructive obligation (from an established pattern of past practice creating a valid expectation in others).

Probable outflow

More likely than not that an outflow of resources embodying economic benefits will be required to settle the obligation.

Reliable estimate

The amount can be reliably estimated — using the best estimate of expenditure required, discounted where the time value of money is material.

CONTINGENT LIABILITIES & ASSETS

Contingent liability

A possible obligation depending on an uncertain future event, or a present obligation that fails the probable/reliable-estimate tests — **disclosed only**, never recognised as a liability.

Contingent asset

A possible asset depending on an uncertain future event — **never recognised** until realisation is virtually certain; disclosed only where an inflow is probable.

ONEROUS CONTRACTS

A provision is recognised for a contract where the unavoidable costs of meeting the obligations exceed the economic benefits expected to be received — the "unavoidable costs" being the lower of the cost of fulfilling it and the cost of any compensation/penalty from failing to fulfil it.

The Effects of Changes in Foreign Exchange Rates

Monetary items are retranslated at every reporting date; non-monetary items generally are not.

FUNCTIONAL CURRENCY

Determination

The currency of the primary economic environment in which the entity operates — primarily the currency that mainly influences sales prices and costs, not necessarily the entity's country of incorporation.

Presentation currency

The currency financial statements are presented in — can differ from functional currency; if so, results are translated using the closing rate for assets/liabilities and average rates for income/expenses, with the difference to OCI (foreign currency translation reserve).

MONETARY VS NON-MONETARY AT EACH REPORTING DATE

Monetary items

Cash and amounts to be received/paid in a fixed or determinable number of currency units (receivables, payables, loans) — retranslated at the **closing rate** at every reporting date, with exchange differences to P&L.

Non-monetary items

E.g. PPE, inventory carried at historical cost — remain at the **historical exchange rate** on the transaction date; only items carried at fair value are retranslated, using the rate at the date fair value was determined.

NET INVESTMENT IN A FOREIGN OPERATION

Exchange differences on a monetary item that forms part of the net investment in a foreign operation are recognised in **OCI**, not P&L, and only reclassified to P&L on disposal of that foreign operation.

First-time Adoption of Indian Accounting Standards

Apply every standard retrospectively at the transition date, except for the specific optional and mandatory carve-outs.

THE GENERAL PRINCIPLE

Opening Ind AS balance sheet

Prepared at the **date of transition** (the start of the earliest comparative period), applying every Ind AS in force at the first reporting date **retrospectively** — as if Ind AS had always been applied.

Adjustments to retained earnings

Differences between the old GAAP carrying amounts and the new opening Ind AS balance sheet are adjusted directly against retained earnings (or another equity component) at the transition date — not through P&L.

EXEMPTIONS

Optional exemptions

Relief an entity may elect, e.g. the **deemed cost exemption** — using a previous GAAP revaluation or fair value as deemed cost for PPE/intangibles, avoiding a full retrospective cost reconstruction.

Mandatory exceptions

Areas where retrospective application is **prohibited** — e.g. estimates made under old GAAP are not revised with hindsight, and derecognition of financial assets/liabilities is generally not reopened.

DISCLOSURES

Reconciliations of equity reported under previous GAAP to equity under Ind AS, both at the transition date and at the end of the last period reported under old GAAP, plus a reconciliation of total comprehensive income for the latest period.

Operating Segments

Report the business the way management actually looks at it internally — not against a standardised, prescribed grid.

THE MANAGEMENT APPROACH

Operating segment

A component that earns revenue/incurs expenses, whose results are regularly reviewed by the **Chief Operating Decision Maker (CODM)** to assess performance and allocate resources, and for which discrete financial information is available.

Why "management approach"

Segments mirror the entity's own **internal organisational structure and reporting** — deliberately not a top-down, standardised industry classification, so segments can genuinely differ company to company.

REPORTABLE SEGMENT THRESHOLDS

Quantitative thresholds

A segment is reportable if its revenue, absolute profit/loss, or assets are **10% or more** of the combined total of all operating segments.

75% test

If reportable segments together account for less than 75% of total external revenue, additional segments must be identified as reportable until that threshold is met.

DISCLOSURES

Factors used to identify segments, types of products/services in each, segment profit/loss and assets, a reconciliation of segment totals to the entity's consolidated totals, and entity-wide disclosures on products/services, geographical areas, and major customers.